

Expensing vs capitalizing

When a business incurs a cost it needs to record it in its company accounts. The company can do this for the full amount at the time it happens, or spread the cost over several years.

Capitalizing and expensing in practice

All companies have costs and expenses. Some such as electricity and other utilities, insurance, staff wages, and food need to be paid for upfront, so these are expensed. To qualify as capital expenditure, an asset must be useful for more than one year. Businesses have to decide which option best fits their business model. A ski resort buys a new ski lift, snowplow, and bus, as well as some furniture, and capitalizes the cost.

WARNING

Whether a cost incurred can legitimately be recorded as an asset is open to a degree of interpretation. Some recent financial scandals have involved companies recording one-off business expenses as investments in new markets that they projected would pay off in the future. The companies did this to inflate or "flatter" their profits rather than show the true figures. An order or an expense that had not yet been paid for was recorded as income earned, and as a result company earnings appeared higher than they actually were.

Assets



SKI LIFT

The significant cost of building the lift is spread over a number of years.



SNOWPLOW

The snowplow is paid off over several years, as deductions from annual income.



FURNITURE

Furniture appears on the balance sheet as a cost spread over three years.



PASSENGER BUS

The passenger bus is recorded as a depreciating asset as its value will fall over time.

Capitalizing

A business may decide to capitalize a cost, and then spread it over a number of years. Capitalizing means recording an expense as an asset, and then allowing for its depreciation, or fall in value, over time. Accounting this way may be the difference between reporting a profit or a loss if the cost or expense is particularly large.

THE BALANCE SHEET

When to capitalize

For businesses wanting to have a smoother flow of reported income and for start-up businesses, it can be attractive to capitalize purchases because by keeping costs down, a business can report a higher income in its early years. However, there are tax implications if it is making a larger profit as a result.

When to expense

If a firm expenses some of its costs, its profitability may be lower. This may be useful in order to reduce tax; lower profits mean lower taxation. A company may also choose to expense a cost if it has had a good year and wants to show high profitability in later years. Some costs, such as staff payments, must be expensed.